



Making the Bubble

“Whoever can supply them with illusions is easily their master.”

—Gustav Le Bon.

Stock Price

The fulcrum of the stock market is the stock price. The management of companies is the biggest beneficiary of a price increase and it is in its interest to keep stock prices high. Anyone who promises to boost the price easily becomes its master. The operator understands this weakness very well. He tells the management that its company stock is undervalued and convinces it that he can take it higher. In most cases he is a broker or an investment banker, which gives him the credibility of knowing the stock markets.

The Deal

The management gives the operator some stock at the current low price and a predetermined amount to rig the stock. The operator uses the money for his stock market operations while his profits come from a portion of the stock he is given at the beginning, which he sells when the price goes up. A fixed amount of performance fees is also given to execute the deal. Over and above that, the operator makes money by way of trading on his own account during the rigging process.

Circular Trading

Step 1: The operator has his own band of brokers who specialise in such operations. The circular trading starts. Broker 1 sells shares to broker 2 who in turn sells to broker 3 who then sells to broker 4 and so on. As the shares change hands the price increases. Thus reported prices on the screen show a steady rise and so does the reported volume. When this data reaches investors they think that since the stock is moving something must be happening. Circular trading picks up momentum and the stock price and volume increases. The reinforcing loop is created. Even if there is